ARCHITECTURE DECISION

Costing Architecture & COGS Decomposition

How raw material costs, conversion costs, and subcontracting costs flow through inventory into COGS — and how cost structure is made visible in margin analysis.

WOOD
Raw timber (white wood)
FIFO

CHEMICALS
Furfuryl alcohol & mix
FIFO

PACKAGING
Packaging materials
FIFO

CONVERSION
Stacking, AC, dryer
WC hourly rates

MACHINING
Subcontracting (RDK)
Two-step: std → actual

Three Questions This Architecture Must Answer

1. At what cost do WIP and FG sit on the **balance sheet**?

2. When goods are sold, how is **COGS decomposed** by component?

3. How are **variances** (actual vs. absorbed) treated?

LOGISTICS COSTS

Transfer cost (freight to plant) → capitalised (IAS 2.11) via landed cost or BOM service line

External warehousing → period expense (IAS 2.16b), not on BS

Kebony BNV (Belgian manufacturing entity) · Odoo 19

Status: **Approved** — SteerCo 23 March 2026 (Option B+) · Go-live target: July 1, 2026

Current State — AX Account Structure

Source: PO-019357 (KRRS 50×150mm, Feb 2026) · Belgian PCMN primary, Norwegian AX in parentheses

BALANCE SHEET ACCOUNTS

PCMN	DESCRIPTION	AX ACCOUNT	ROLE
300	Matières premières — Bois blanc	1400--R--2490	Raw wood (FIFO)
301	Matières premières — Chimie	1400--MIX--2615	Chemical mix (FIFO)
330	Produits finis	1440--KRRS--2489	Finished goods (standard)
330bis	PF — offset WIP	1441--KRRS--2489	Temporary FG offset
320	En-cours (WIP)	1492	WIP clearing (materials)
320bis	En-cours indirect (WIP-IC)	1493	WIP clearing (conversion)

P&L ACCOUNTS

PCMN	DESCRIPTION	AX ACCOUNT
—	Indirect cost personnel	4501--ICP--1290
—	Indirect cost other	4501--IC--1292
—	Direct cost electricity	4961--DC--4025
604	Écart de production	4226 (actual cost)
714	Variation des stocks	4227 (standard cost)

FIVE COST COMPONENTS (PO-019357)

#	COMPONENT	QTY	AMOUNT (NOK)	NATURE
1	Raw wood (2490)	1,969 m / 14.77 m³	138,573	Material (FIFO)
2	Chemical mix (2615)	9,850 L / 665 L/m³	60,178	Material (FIFO)
3	ICP personnel (1290)	17.56 Keb.hrs	18,104	Conversion
4	IC other (1292)	17.56 Keb.hrs	15,558	Conversion
5	DC electricity (4025)	15.01 m³	19,768	Direct cost
	Total consumed		**252,182**	
	FG output (2489 KRRS)	1,975 m / 14.81 m³	**259,726**	Standard cost

Conversion uses a single "Kebony hour" rate (1.17 h/m³) split across ICP + IC. Same hours drive both. In Odoo, this splits into 3 WC pools (Stacking, Autoclave, Dryer).

Current State — AX Two-Phase Posting Model

Every production order generates temporary entries at start, then reverses + reposts at close

PHASE 1 — WIP INPUT (AT PICKING)

```
DR 320 WIP              138,344  (wood at std)
  CR 300 RM Bois        138,344
DR 320 WIP               60,363  (mix at std)
  CR 301 RM Chimie       60,363
DR 320bis WIP-IC         18,104  (ICP)
  CR – Ind.personnel     18,104
DR 320bis WIP-IC         15,558  (IC)
  CR – Ind.other         15,558
DR 320bis WIP-IC         19,768  (DC)
  CR – Electricity       19,768
```

PHASE 1 — REPORT AS FINISHED

```
DR 330 Produits finis   259,726  (standard)
  CR 330bis FG offset   259,726  (temporary)
```

PHASE 2 — CLOSE PO

```
Step 1: Reverse ALL Phase 1 entries
Step 2: Repost actual costs through WIP
DR 320 WIP              138,573  (actual wood)
  CR 300 RM Bois        138,573
DR 320 WIP               60,178  (actual mix)
  CR 301 RM Chimie       60,178
[...conversion same amounts...]
Step 3: Flush WIP → P&L
DR 604 Écart prod.      252,182  (actual)
  CR 320 WIP            252,182
Step 4: Capitalise FG
DR 330 Produits finis   259,726  (standard)
  CR 714 Var.stocks     259,726
```

Variance: Standard 259,726 – Actual 252,182 = **+7,544 NOK favourable**

KEY LIMITATIONS

PROBLEM	IMPACT
Fixed standard % for COGS split	Drifts from reality — different products have different cost structures
Cost detail lost in FG stock	Only the MO retains actual breakdown
Variance accounts are opaque	No product or lot traceability
Standard revision is manual	Inventory valuation drifts between revisions
Two-phase doubles journal volume	Reverse + repost creates 2× the entries
Single Kebony hour hides stage drivers	Cannot see cost by production stage

Napoleonic → Anglo-Saxon: The Fundamental Switch

From "conversion costs expensed at production" to "full absorption — costs only hit P&L when sold"

NAPOLEONIC (AX TODAY)

STEP	ACCOUNT	WHERE
RM → WIP	DR 320 / CR 300, 301	BS → BS
Conversion costs	DR 320bis WIP-IC / CR P&L (ICP, IC, DC)	BS transit → **P&L**
PO close: flush WIP	DR **604** Écart / CR 320, 320bis	**P&L immediately**
FG at standard	DR 330 / CR **714** Var.stocks	BS (budget value)
Sale: COGS	DR 600 / CR 330	P&L (standard)

Result: Conversion costs hit P&L at production time. FG on BS = standard (budget). COGS = standard. Per-product profitability = impossible without MO drill-down.

ANGLO-SAXON (ODOO TARGET)

STEP	ACCOUNT	WHERE
RM → WIP	DR 320 / CR 300, 301	BS → BS
Conversion absorbed	DR 320 WIP / CR **791** Absorbed	**BS (stays!)**
MO completion: FG	DR 330 / CR 320	BS → BS (actual cost)
Sale: COGS	DR 600 / CR 330	P&L (actual cost)
Unabsorbed variance	791 balance ≠ actual GL spend	P&L at EOM

Result: All production costs stay on BS until sale. FG = real cost. COGS = real cost. Per-product profitability = **automatic**.

CHART OF ACCOUNTS IMPACT

ACCOUNT	CHANGE
320 WIP	Scope expanded: now includes conversion costs
320bis WIP-IC	**REMOVED** — merged into 320
330bis FG offset	**REMOVED** — no two-phase
714 Variation stocks	**REMOVED** — no standard revaluation
604 Écart production	**NOT USED (Option B)** — RDK settles to 330/600 at actual
791 Absorbed	**NEW** — WC contra-account
300, 301, 330, 600	Unchanged (but carry actual cost, not standard)

LEGAL & TRANSITION

ASPECT	ANSWER
Belgian GAAP	ALLOWED — KB 30/01/2001, art. 3:15. Policy choice. Disclose in notes.
IFRS alignment	REQUIRED by IAS 2. Switch aligns statutory ↔ IFRS.
Auditor	POSITIVE — prefers full absorption. Will scrutinise WC rates.
Tax impact	HIGHER SHORT-TERM — costs deferred to BS = higher taxable profit
Transition	Apply **prospectively** from July 1 (Odoo go-live). Old FG at AX standard. New FG at full actual.

This Switch is the Prerequisite

Anglo-Saxon full absorption is **required** for FIFO or Weighted Average to deliver per-product profitability. Without it, conversion costs bypass inventory entirely — no valuation method can fix that.

Level 2 Analytical Decomposition — The Core Improvement

Shared by all options — replaces fixed % with actual MO cost breakdown on every COGS line

WHAT CHANGES?

Level 1 (AX today) = fixed standard % for all products in a category.
Level 2 (Odoo target) = actual % per product, per lot, traced from the Manufacturing Order.

When goods are sold, the system traces the delivered lot back to its MO. The MO's **actual** cost breakdown provides the **real percentage split**, applied as the analytical distribution on the COGS journal entry.

This is implemented regardless of BS valuation choice.

TRACEABILITY CHAIN

```
Sale Delivery (stock.picking)
  └ stock.move.line → lot_id
      └ stock.lot → producing MO
          └ mrp.production
              └ Actual cost breakdown:
                  Wood:        54.3%  → CM: Material
                  Chemical:    11.1%  → CM: Material
                  Conversion:  16.7%  → CM: Conversion
                  Machining:   17.8%  → CM: Direct Cost
```

Fallback: If no producing MO is found (purchased FG, consignment, legacy stock), system falls back to standard % from the planning family.

BEFORE VS. AFTER

CRITERION	AX (LEVEL 1)	ODOO (LEVEL 2)
COGS split method	FIXED %	ACTUAL % FROM MO
Granularity	Same % for all products	Per product, per lot
Drift over time	Diverges from reality	Always current
Margin variance	Cannot isolate driver	Wood vs conv vs mach visible
Works with all options?	n/a	YES — SHARED

ANALYTICAL DISTRIBUTION MAPPING

COST COMPONENT	CM LEVEL	SOURCE
Wood	Material	MO component cost (FIFO)
Chemical	Material	MO component cost (FIFO)
Conversion	Conversion	MO work centre cost (rate × hours)
Machining	Direct Cost	MO subcontracting cost (std, then settled)

Key Insight

Level 2 is the **minimum improvement** regardless of BS valuation choice. Even keeping standard cost on the balance sheet (Option A), COGS analytical distribution uses **actual MO percentages** instead of fixed ones.

Option A — Standard Cost Inventory

FG and WIP valued at standard cost · Familiar (AX-equivalent) · 4 variance accounts

ACCOUNTING FLOWS

Raw Material Reception

```
DR  300  Matières premières — Bois blanc     (FIFO purchase price)
    CR  444  Factures à recevoir (GRNI)
```

MO Consumption (RM at FIFO)

```
DR  320  En-cours de fabrication (WIP)       (FIFO actual cost)
    CR  300  Matières premières — Bois blanc
    CR  310  Matières premières — Chimie
```

MO Completion (FG at Standard)

```
DR  330  Produits finis                      (STANDARD cost)
    CR  320  En-cours de fabrication (WIP)    (actual accumulated)
DR/CR 604  Écart de production              (variance = actual - standard)
```

Sale Delivery — COGS at Standard

```
DR  600  Coût des ventes (COGS)              (STANDARD cost)
    CR  330  Produits finis
    Analytical distribution: actual % from MO (Level 2)
```

VALUATION RULES

STAGE	METHOD
Raw Materials	FIFO (actual purchase price per lot)
Ready-Mix	FIFO (actual component cost)
WIP	**Standard**
Finished Goods	**Standard**
Semi-FG	**Standard**

4 VARIANCE ACCOUNTS

ACCOUNT	CONTENT
604_1 Écart matières	FIFO actual – standard (wood + chem)
604_2 Écart conversion	WC actual – standard
604_3 Écart machinage	RDK actual – standard absorbed
714 Variation stocks PF	Revaluation at std revision

P&L PRESENTATION

```
Revenue                    100 000
COGS (standard)             -72 000  ← stable, predictable
                            -------
Gross Margin (standard)      28 000  (28.0%)

Variances:
  Wood (604₁)               -1 200
  Chemical (604₁)             -300
  Conversion (604₂)           -150
  Machining (604₃)            -500
                            -------
Gross Margin (actual)        25 850  (25.9%)
```

Option B — Full FIFO Inventory

FG valued at actual FIFO cost per lot · No permanent variance accounts · Odoo 19 native

ACCOUNTING FLOWS

MO Consumption (identical to Option A)

```
DR  320  En-cours de fabrication (WIP)        (FIFO actual cost)
    CR  300  Matières premières — Bois blanc
    CR  310  Matières premières — Chimie
```

Work Centre Cost Absorption

```
DR  320  En-cours de fabrication (WIP)        (standard WC rate × actual hours)
    CR  791  Production costs absorbed
```

MO Completion — FG at Actual (NO Variance)

```
DR  330  Produits finis                       (ACTUAL cost from WIP)
    CR  320  En-cours de fabrication (WIP)     (actual accumulated)

    ← No variance entry — actual cost flows directly into FG
      Each lot holds its own actual cost
```

Sale Delivery — COGS at Actual FIFO

```
DR  600  Coût des ventes (COGS)               (ACTUAL FIFO cost of lot)
    CR  330  Produits finis
    Analytical distribution: actual % from MO (Level 2)
```

VALUATION RULES

STAGE	METHOD
Raw Materials	FIFO (actual purchase price per lot)
Ready-Mix	FIFO (actual component cost)
WIP	**Actual** (FIFO materials + std rate × actual hours)
Finished Goods	**Actual** (FIFO per lot)
Semi-FG	**Actual** (flows from WIP)

NO PERMANENT VARIANCE ACCOUNTS

> **Materials**: actual FIFO. **Conversion**: actual hours × standard WC rate (only €/hour is budgeted). **Machining (RDK)**: provisional standard at MO close, settled to actual when vendor bill arrives — updates FG valuation layer and COGS, no 604 variance account needed.

P&L PRESENTATION

```
Revenue                      100 000
COGS (actual FIFO)            -73 650  ← real cost, lot by lot
                              ———————
Gross Margin                   26 350  (26.4%)

  Analytical decomposition (actual % from MO):
    Wood:            40 200  (54.6%)
    Chemical:         8 100  (11.0%)
    Conversion:      12 500  (17.0%)
    Machining:       12 850  (17.5%)

RDK cost included in COGS at actual (after vendor bill settlement)
Conversion: actual hours × std rate. Only €/hour is budgeted.
```

The Three Valuation Methods — What They Really Mean

Standard = blind · Weighted Average = smooth but irreversible · FIFO = traceable truth

CRITERION	STANDARD COST TODAY	FIFO (LOT-BASED REAL COST)	WEIGHTED AVERAGE
What you know per invoice	Budget number (same for every lot)	REAL COST of the specific lot shipped	Blended average across all lots on hand
Per-product profitability	NO — only by product group. Per-product requires opening every MO + manual variance allocation	YES — automatic, per lot	YES — automatic, per SKU
Lot traceability	Lost — all FG at same standard	PRESERVED — lot → MO → cost breakdown	DESTROYED — averaged away, can never be reconstructed
Reconciliation & audit	4 variance accounts, monthly allocation, auditor must trust your standard	SELF-RECONCILING — GL = reality. No permanent variance accounts (RDK settles to actual). Auditor's preferred method	No variance accounts, but values are approximate — never exactly traceable to a specific lot
Cross-market fairness	Fair (same standard everywhere)	NOISY at single-invoice level	Fair (same product = same cost)
Where errors hide	ALWAYS — standard masks reality until quarterly revision	NEVER — every lot individually visible	Sometimes — price swing shifts average for ALL stock
EOM close effort	High — 4 variance accounts to allocate, ~200 standards to maintain	LOW — no variance accounts. RDK settles to inventory/COGS at actual	Lowest
Odoo 19 readiness	Supported	MOST MATURE (lot_valuated)	Supported

The Punchline

Standard cost gives you a budget that hides reality. Weighted average gives you a smooth number that **destroys traceability forever**. FIFO gives you the truth — and from truth, you can always compute any smoothed view you want. **You cannot go the other way.**

FIFO Self-Corrects Over Volume

HORIZON	TXNS/SKU	FIFO VS WA GAP
Single invoice	1 lot	VISIBLE
Monthly	20–50	NEGLIGIBLE
Quarterly+	60+	ZERO

Nobody makes business decisions on one invoice. At monthly+ level, FIFO and WA produce the **same result**.

What “FIFO” Really Means at Kebony

Not textbook FIFO — lot-based specific identification with FIFO as the default reservation discipline

HOW IT WORKS IN PRACTICE

STEP	SYSTEM PROPOSES (FIFO)	OPERATIONS MAY OVERRIDE	COST THAT FLOWS
MO consumption	Oldest lot reserved first	Operator picks whichever lot suits the process (dimensions, drying state, proximity)	ACTUAL COST of the lot consumed
Sales delivery	Oldest lot reserved on pick	Warehouse ships whichever lot is operationally practical	ACTUAL COST of the lot shipped

Key point: The Odoo product category is set to “FIFO”, but because every lot has its own valuation layer (`stock.valuation.layer`), the **actual cost flow is specific identification** (IAS 2.23). FIFO only governs the *order in which lots are proposed*, not the *cost assigned*.

IN ACCOUNTING TERMS

TERM	WHAT IT MEANS AT KEBONY
FIFO setting	Default reservation order: propose oldest lot first
Actual cost flow	Specific identification — real lot cost flows to WIP / COGS
Valuation layer	One layer per lot, carrying that lot’s actual cost

WHY THIS IS A FEATURE, NOT A BUG

1. FULL TRACEABILITY

Every COGS entry traces to a specific lot with a specific cost. No averaging, no abstraction. The GL is maximally truthful.

2. SLOW-MOVER DISCIPLINE

FIFO as the default reservation forces visibility on slow movers. The system keeps proposing the oldest lot until someone deals with it — consumes it, downgrades it, or writes it off. **Old stock cannot hide.**

3. OPERATIONAL FREEDOM

When an operator overrides FIFO, they make a **conscious decision**. The cost recorded is still the real cost of what was actually used. No precision is lost.

IAS 2 Reference

IAS 2.23 allows **specific identification** for items that are not ordinarily interchangeable. Kebony’s lot-tracked lumber qualifies. FIFO (IAS 2.25) is the *reservation heuristic*, not the *cost formula*.

Belgian PCMN Account Mapping & Odoo Configuration

Chart of accounts mapping for both options · Product category setup in Odoo 19

BALANCE SHEET — CLASS 3

PCMN	DESCRIPTION	USED
300	Matières premières — Bois blanc	Both
301	Matières premières — Chimie	Both
302	Ready-Mix (intermediate)	Both
320	En-cours — Kébonisation (WIP)	Both
322	En-cours — Machinage (WIP-Mach)	Both
325	Semi-produits finis (Semi-FG)	Both
330	Produits finis (Finished Goods)	Both
360	Emballages commerciaux (Packaging)	Both

CLEARING — CLASS 4

PCMN	DESCRIPTION
440	Fournisseurs (Trade Payables)
444	Factures à recevoir — GRNI
444x	Sous-traitance à recevoir (Machining GRNI)

P&L — CLASS 6 / 7

PCMN	DESCRIPTION	USED
600	Coût des ventes (COGS)	Both
604_1	Écart matières (material var.)	A only
604_2	Écart conversion	A only
604_3 / 604	Écart machinage (A: permanent variance; B: not used — settles to 330/600)	A only
613	Loyers / Sous-traitance logistique	Both
700	Chiffre d'affaires (Revenue)	Both
791	Production costs absorbed (WC contra)	B only

PRODUCT CATEGORY CONFIG — OPTION B (FIFO)

CATEGORY	COSTING	VALUATION	INPUT	OUTPUT
RM — Wood	FIFO	300	444	320
RM — Chemical	FIFO	301	444	320
Packaging	FIFO	360	444	320
Ready-Mix	FIFO	302	320	320
Semi-FG	**FIFO**	325	320	322
Finished Goods	**FIFO**	330	320/322	600

PRODUCT CATEGORY CONFIG — OPTION A (STANDARD)

CATEGORY	COSTING	VALUATION	INPUT	OUTPUT
RM — Wood	FIFO	300	444	320
RM — Chemical	FIFO	301	444	320
Packaging	FIFO	360	444	320
Ready-Mix	FIFO	302	320	320
Semi-FG	**Standard**	325	320	322
Finished Goods	**Standard**	330	320/322	600

Only difference: The costing method on Semi-FG and FG product categories changes from **Standard** to **FIFO**. All accounts remain the same.

FIFO Requires

`lot_valuated = True` on all FG and Semi-FG product categories. Each lot holds its own actual cost. This is Odoo 19's most mature and tested valuation mode.

Packaging, Transfer & Warehousing Costs

5th cost component (packaging) · Transfer costs capitalised (IAS 2.11) · Warehousing = period expense (IAS 2.16b)

PACKAGING MATERIAL — FIFO (DECIDED)

Packaging materials are inventorised at **FIFO purchase price**, consumed in the MO as a BOM component, and flow into FG cost alongside wood and chemicals.

ASPECT	TREATMENT
Valuation	FIFO (actual purchase price per lot)
PCMN account	360 Emballages commerciaux
BOM treatment	Consumed as component in MO
CM Level	Material (grouped with wood + chemicals)
Odoo config	FIFO, Val: 360, In: 444, Out: 320

Analytical split: For go-live, packaging is grouped under the **Material** CM level. The MO cost breakdown still shows packaging as a separate line — it can be split out as a distinct cost group post go-live if needed.

TRANSFER COSTS — CAPITALISED (IAS 2.11)

*"The cost of purchase comprises the purchase price, import duties and other taxes, and **transport, handling and other costs directly attributable** to the acquisition."*

SCENARIO	IMPLEMENTATION
Supplier → Plant	LANDED COST on PO receipt — adds freight to RM FIFO layer automatically
Supplier → Ext. WH	LANDED COST on PO receipt — same mechanism
Ext. WH → Plant	BOM SERVICE LINE at standard €/m³ — absorbed at MO, settle periodically (like RDK)

EXTERNAL WAREHOUSING — PERIOD EXPENSE (IAS 2.16B)

*"Storage costs are excluded from inventory cost, **unless those costs are necessary in the production process prior to a further production stage**."*

ASPECT	TREATMENT
BS treatment	NOT CAPITALISED — period expense
PCMN account	613 Loyers / 615 Sous-traitance logistique
Posting	Monthly warehouse invoice → expense
Analytical	Tagged by product family + warehouse
Margin impact	Below gross margin (SG&A / logistics)

Exception: If specific storage is *necessary prior to a further production stage* (e.g., wood acclimatisation before kébonisation), that portion could be capitalised as conversion cost. Narrow exception — not recommended for general external warehousing.

SUMMARY: COST TREATMENT BY TYPE

COST TYPE	BS / P&L	MECHANISM
Packaging material	**BS** (FIFO)	BOM component, 360
Freight: supplier → plant	**BS** (landed)	Landed cost on PO
Freight: supplier → WH	**BS** (landed)	Landed cost on PO
Freight: WH → plant	**BS** (BOM)	BOM service line, std/m³
External storage	**P&L**	613/615, analytical by family

RDK Settlement & Automation Components

Two-step machining cost: standard at MO close, actual at vendor bill · Automation roadmap for go-live

RDK MACHINING SETTLEMENT — TWO-STEP COST UPDATE

```
Step 1  Semi-FG transferred to RDK subcontractor location
         DR 322 WIP-Machinage / CR 325 Semi-produits finis

Step 2  MO completed — FG at provisional standard machining
         DR 330 Produits finis (material + std machining)
             CR 322 WIP-Machinage (material portion)
             CR 444x Sous-traitance à recevoir (std machining)

Step 3  PO generated to RDK (no accounting entry)

Step 4  Vendor bill arrives — update FG valuation with actual
         DR 444x Sous-traitance à recevoir (clear std amount)
             CR 440 Fournisseurs (actual invoice)
         DR/CR 330 Produits finis (adjust lot: actual - std)
         If lot already sold:
         DR/CR 600 COGS adjustment (prorate by m³)
```

NOT A VARIANCE — A COST UPDATE

The actual machining cost **replaces** the standard estimate on the FG valuation layer. If lot is on hand → adjust 330. If already sold → adjust 600 COGS. **No permanent 604 account.**

STANDARD RATE SOURCE

Volume-dependent price list (cost/m³ decreases at higher volumes). Rate is a **provisional estimate** until vendor bill arrives.

Go-live requirement: RDK settlement automation must match vendor bill to MOs, allocate actual cost back to FG lots (by m³), and adjust COGS for lots already sold.

AUTOMATION COMPONENTS — EFFORT ROADMAP

1. COGS ANALYTICAL DISTRIBUTION

MUST-HAVE · 5 DAYS

Sale delivery → COGS journal entry. Traces lot to producing MO, reads actual cost breakdown, applies as analytical distribution on COGS line. Fallback to standard % from planning family if no MO found.

2. STANDARD COST MONITOR

SHOULD-HAVE · 3 DAYS

Accounting Hub → "Cost Monitoring" tab. Compares weighted-avg actual MO cost vs `standard_price`. Flags deviations >5%. "Propose Revaluation" button. Required for Option A, useful for B.

3. RDK SETTLEMENT AUTOMATION

SHOULD-HAVE · 3 DAYS

RDK vendor bill validated → matches PO lines to subcontracting MOs → computes actual vs standard → updates FG lot valuation (330) and COGS (600) if lot already sold. No 604 variance posting.

4. MARGIN BY PRODUCT REPORT

SHOULD-HAVE · 2 DAYS

Analytical pivot on COGS. Dimensions: product/family, customer/area, period. Revenue, COGS decomposed (wood, chem, conv, mach), GM, variance.

13	5	8
TOTAL DEV DAYS	MUST-HAVE	SHOULD-HAVE

Conversion Variance Tracking & Precision Enhancements

How to track conversion variance in both options · Optional post-go-live improvements

CONVERSION VARIANCE — TRACKING APPROACH

Conversion costs are absorbed via Work Centre rates (**standard €/hour × actual hours**). The **hours are actual** (captured from production). Only the **€/hour rate is budgeted** (annual cost pool ÷ capacity). The variance arises because actual spend per hour differs from the budgeted rate — this is the **only non-actual element** in the FIFO valuation layer (~17% of total cost).

STEP	DESCRIPTION
1	**Actual spend** — GL accounts track real costs per cost pool (Stacking, Autoclave, Dryer): salaries, energy, maintenance, depreciation
2	**Absorbed amount** — sum of (WC rate × actual hours) across all MOs in the period, posted via account 791
3	**Variance = Actual spend – Absorbed**
4	Report in **absolute** (pragmatic) or divide by budget hours for a **rate variance**

OPTION A VS. OPTION B TREATMENT

OPTION A

Conversion variance explicitly posted to **604_2** at each MO completion. Straightforward but per-MO. Sum of 604_2 = total variance.

OPTION B

No per-MO variance. Tracked at **period level**: actual cost pool GL vs. sum of absorbed (791). Monthly GL comparison.

Practical note: Not easy to track with full precision. The absolute comparison (actual GL vs absorbed per period) is a pragmatic first step — already a significant improvement over AX.

POST GO-LIVE — PRECISION QUESTIONS

MONTHLY WC RATE REVISION

What	Review conversion cost rates monthly instead of annually. Push revised rates into stock valuation.
Gain	Higher accuracy on BS valuation of conversion portion (~17% of total cost). Marginal if production is stable month-to-month.
Cost	Monthly close task: recompute rates, update WC config, potential revaluation entries.
Verdict	WORTH IT IF conversion costs are volatile (e.g., energy prices). Otherwise annual is sufficient.

EXPLODING COST GROUPS FURTHER

What	Split beyond 4 groups. E.g., separate Stacking / Autoclave / Dryer instead of one "Conversion".
Gain	Finer margin analysis. But: 1 cost group = 1 margin level. More groups = more complexity for marginal insight.
Cost	More WC config, more analytical accounts, more lines in margin report, more complexity in Level 2 logic.
Verdict	DIMINISHING RETURNS beyond 4 groups. Finer splits can be added incrementally post go-live.

Principle

Start with **4 cost groups** at go-live (Wood, Chemical, Conversion, Machining). Level 2 actual % already captures the real cost structure per lot. Finer splits are additive and can be phased in without re-architecture.

STANDARD COST MAINTENANCE SUMMARY

COMPONENT	OPTION A	OPTION B
Wood	Quarterly revision	AUTO (FIFO)
Chemicals	Quarterly revision	AUTO (FIFO)

COMPONENT	OPTION A	OPTION B
Conversion (WC)	Annual	Annual
Machining (RDK)	Annual / renegotiation	Annual / renegotiation

Option B+ — FIFO + Quarterly SKU Margin Averaging

DECIDED — STEERCO 23 MARCH 2026 · You can always smooth truth. You cannot un-smooth an average.

LAYER 1 — THE BOOKS (STATUTORY GL)

```
FIFO: actual lot cost flows to COGS
Every invoice shows the real margin for the lot shipped
Full traceability: lot → MO → cost breakdown
IAS 2 gold standard — auditor's preferred method

Who uses this: CFO, Controller, Auditor
What they see: The truth, lot by lot
```

LAYER 2 — THE VIEW (REPORTING QUERY)

```
For each SKU, for each quarter:
  Avg margin = Σ(revenue − COGS) / Σ(qty sold)

Same product shows same average margin across all markets
No lot-to-lot noise
No journal entries — it's a GROUP BY on existing FIFO data

Who uses this: CEO, Sales, Commercial team
What they see: Fair, smoothed, comparable numbers
```

WHY OPTION B+ WINS

QUESTION	ANSWER
Does it require journal entries?	NO — pure reporting layer
Does it require a management ledger?	NO — just a query
Does it touch the statutory books?	NO — GL stays at FIFO
How hard is it to build?	TRIVIAL — computed column in margin report
When does it become available?	After 1 quarter of FIFO data (Q4 2026)

WHY NOT WEIGHTED AVERAGE IN THE GL INSTEAD?

	WA IN GL	OPTION B+ (FIFO + REPORT)
Statutory books	Averaged (less precise)	ACTUAL FIFO
Lot traceability	LOST FOREVER	PRESERVED
Cross-market fairness	Built-in	Via quarterly averaging
Reconciliation	Cannot trace to lot	EVERY LINE TRACEABLE
Flexibility	Locked into one view	BOTH VIEWS
Reversibility	Cannot reconstruct FIFO	CAN ALWAYS COMPUTE WA

Phase 3 (on demand): If the CEO ever needs a *full smoothed P&L* (not just a margin report), the VVF multi-ledger can produce one with adjustment JEs. Available but **probably unnecessary** — the quarterly SKU margin report covers 99% of the need.

Implementation Timeline

Path to July 1 go-live · OPTION B+ CONFIRMED AT STEERCO 23 MARCH 2026

GO-LIVE ROADMAP

#	COMPONENT	EFFORT	PRIORITY
1	~~CEO/CFO confirm: Anglo-Saxon + FIFO (Option B+)~~	—	DONE 23 Mar
2	Product category setup (FIFO, valuation accts)	Config	MUST
3	Work centre rate configuration	Config	MUST
4	RDK price list / provisional rate setup	Config	MUST
5	COGS analytical distribution (code)	5 days	MUST
6	RDK settlement automation (code)	3 days	MUST
7	Margin by Product report (incl. SKU avg column)	3 days	SHOULD
8	UAT with finance team	—	MUST

PHASING

PHASE	WHAT	WHEN
Go-live	FIFO as system of record. Per-lot margin on every invoice.	July 1, 2026
Q4 2026	Quarterly SKU margin averaging column in margin report. Trivial — just a GROUP BY on existing FIFO data.	After first full quarter
On demand	Management ledger (VVF multi-ledger) for full smoothed P&L. Only if CEO explicitly needs separate books.	Unlikely to be needed

OPTION B+ — SUMMARY

ANGLO-SAXON
Full absorption. Conversion on BS until sold. **Prerequisite.**

FIFO (LAYER 1)
Per-lot margin, automatic. Full traceability. No permanent variance accounts.

SKU AVG (LAYER 2)
Quarterly averaging for CEO/sales. No JEs. Just a report.

- ✓ **Auditor gets FIFO** — maximum accuracy, full lot traceability
- ✓ **CEO gets smoothed view** — fair cross-market comparison per SKU
- ✓ **Operations get slow-mover discipline** — FIFO proposals force visibility
- ✓ **Controller gets reconciliation** — every COGS line traces to a lot and its MO
- ✓ **Both views from one GL** — no data loss, no compromise, fully reversible

DECISION — STEERCO 23 MARCH 2026

Option B+ Confirmed

FIFO + Anglo-Saxon COGS · Reporting layer if needed

Truth for the auditor. Fairness for the CEO. No data destroyed.